

savings in the company and structure compensation packages so that the fortunes of managers and investors rise or fall together. In public companies, though, the major constituencies frequently don't march to the beat of the same drum. Some directors are primarily interested in protecting their fees and staying in the good graces of their fellow board members; some managers want the company to grow, regardless of the impact on shareholders, because managing a larger enterprise typically makes their paycheck swell. As a result, shareholders can become disenfranchised. Having witnessed the powerful effect of shared incentives in achieving great outcomes at private companies, I am now willing to pay a premium for public ones whose top managers are clearly cultivating the long-term value of the business.

I have noted the many benefits of investing in private companies, but there are downsides worth mentioning. Not all the individuals with whom we've worked are exceptional as managers. Among the duds was a CEO who defrauded the company (and the U.S. government) and ran it into bankruptcy. If things start to go badly, it takes a very long time to get out; every day is misery until your stake is gone. You come into the office each morning with the position staring you in the face, and you can't help but ask yourself, "What was I thinking? How *could* I have been so dumb?"

In my nearly 40 years of investing, I have experienced many challenges: outright fraud, general incompetence, value-destroying capital allocation, market crashes, terrorist attacks, deep recessions, a pandemic, and more. I have watched masters of the universe go from the top of the hill to bankruptcy—or reach the edge of it—in a matter of weeks. I have seen investors get psychologically broken by a bear market. These events have left deep scars. Investing is harder than it looks. Staying in the game is a prerequisite to success. Seth Klarman once said that the secret to investing is that there is no secret to investing. Instead, hard work, intellectual honesty, and a flexible mind